

institutions, trade promotion bodies, and investment promotion boards to help create an enabling environment for supporting trade and investment. The Global Network of Exim Banks and Development Finance Institutions (G-NEXID) was set up in Geneva in March 2006 through the Bank's initiative, under the auspices of UNCTAD. EXIM-Mitra was created by EXIM bank to promote digital India, a one-stop solution for all export and import needs. It is an online platform to deliver trade-related information and provides access to insurance for exporters and importers.

17.5 NATIONAL BANK FOR AGRICULTURE AND RURAL DEVELOPMENT (NABARD)

NABARD, an apex institution in the field of refinancing activities in agriculture and rural development, was established under an Act 61 of 1981. The formation of NABARD was approved by the Parliament through Act 61 of 1981. NABARD came into existence on 12 July 1982 by transferring the agricultural credit functions of RBI and refinance functions of the then Agricultural Refinance and Development Corporation (ARDC). Consequent to the revision in the composition of share capital between the Government of India and RBI, NABARD today is fully owned by the Government of India.

The NABARD has been recognized as the apex institution for agricultural finance. As the name suggests, the bank has been set up not only for agricultural finance but also for the development of rural areas. The main objective of NABARD can be brought under three major heads:

- i) Credit function.
- ii) Development function.
- iii) Promotional function.

Credit functions: Framing policy and guidelines for rural financial institutions, providing credit facilities to issuing organizations, monitoring the flow of ground-level rural credit, and preparing credit plans annually for all districts for identification of credit potential. The bank is providing short-term, medium-term and long-term loans for agriculture and rural development.

- i) **NABARD provides refinancing facilities** to Commercial banks, State cooperative banks, Central Co-operative banks, Regional rural banks and Land Development banks.
- ii) It provides refinancing to agriculture, small-scale industries and other village and cottage industries by lending to commercial banks.
- iii) The bills of commercial and cooperative banks are discounted to enable them to finance agricultural operations.
- iv) The bank provides funds to State governments for undertaking developmental and promotional activities in rural areas. To promote rural development and to help the weaker sections, the bank refinances

especially regional rural banks which are set up in backward areas in most of the States.

- v) Towards long-term loans, the bank is providing loans to institutions involved in long-term agricultural loans against the guarantee of the State government.
- vi) The bank is also financing research and development of agricultural and rural industries.
- vii) The bank provides finance for promoting non-farm activities and employment in non-farm sectors to reduce rural unemployment.

Development and promotional functions: NABARD helps cooperative banks and Regional Rural Banks (RRBs) to prepare development action plans for themselves. It also helps RRBs and their sponsor commercial banks to enter into MoUs with state governments and cooperative banks to improve their operations. NABARD also monitors the implementation of development action plans of commercial banks. It provides financial support for the training institutes of cooperative banks, commercial banks and Regional Rural Banks along with providing financial assistance to cooperative banks for building improved management information systems, computerisation of operations and development of human resources. NABARD has opened branches at all District headquarters by which it coordinates the district development programmes along with the district officials. NABARD implements the policy of the Central Government and the RBI about agricultural credit. It helps in the annual credit plan of the commercial banks and co-ordinates the activities of commercial and cooperative banks at the district level. During natural calamities, such as droughts, crop failure and floods, the bank helps by refinancing to commercial and cooperative banks so that the farmers tide over their difficult period.

Supervisory Functions: NABARD undertakes inspection of Regional Rural Banks (RRBs) and Cooperative Banks (other than urban/primary cooperative banks) under the provisions of the Banking Regulation Act, of 1949. It inspects State Cooperative Agriculture and Rural Development Banks (SCARDBs) and apex non-credit cooperative societies voluntarily. It makes recommendations to RBI on the issue of licenses to Cooperative Banks and, the opening of new branches by State Cooperative Banks and Regional Rural Banks (RRBs). It initiates portfolio inspections besides off-site surveillance of Cooperative Banks and Regional Rural Banks (RRBs).

Role and importance of NABARD: Ever since the setting up of NABARD, there has been a considerable increase in the distribution of agricultural credit both by commercial and cooperative banks. NABARD has also strengthened the working of Regional Rural Banks. After the setting up of NABARD, there has been a considerable increase in the rural finance and **development of small-scale and cottage industries**. NABARD has played a significant **role in improving storage facilities for agricultural commodities** in the country.

It has promoted the export of agricultural commodities which include vegetables and fruits. It has played a supplementary role in sustaining the Green Revolution in the country. *White Revolution and Blue Revolution* in the form of increased milk production and fisheries have also been contributed by the sustained efforts of NABARD. It also promotes research in rural banking in the field of agriculture and rural development.

Check Your Progress 2

- 1) Explain the significance of EXIM Bank in the field of international trade.

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- 2) What are the schemes of EXIM Bank to provide finance for promoting exports?

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- 3) Describe the role of NABARD as an apex institution for financing agriculture.

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17.6 INFRASTRUCTURE FINANCE

By the early 1990s, it was recognized that there was a need for financial institutions to directly access the capital markets for their funds to finance infrastructure projects. Thus, several infrastructure finance companies were set up. Some of them have become fully private like ICICI while others have been partly privatised like REC and PFC. Besides several private companies have recently become big players in the infrastructure financing space like SREI, L&T Finance etc. The scope for these companies is immense if they decently manage their assets-liabilities.

17.7 NATIONAL BANK FOR FINANCING INFRASTRUCTURE AND DEVELOPMENT (NaBFID)

The need for establishing a dedicated financial institution to address the long-term infrastructure financing requirements in India was realized considering the nation's GDP growth objectives and the role of infrastructure development towards the same. In response to this need, the National Bank for Financing

Infrastructure and Development Act, 2021 was passed by the Parliament in March 2021. It has come into force effective April 19, 2021. Reserve Bank of India (RBI) vide its letter dated March 8, 2022 has advised that NaBFID shall be regulated and supervised by RBI as an All India Financial Institution (AIFI) under sections 45L and 45N of the RBI Act, 1934, respectively.

The significance of NaBFID lies in its potential to play a key role in financing large infrastructure projects beyond power and telecom and provide a more stable source of funding. This is expected to not only stimulate economic development and employment creation but also improve the efficiency and transparency of infrastructure development in the country, through the adoption of best practices across project lifecycles.

NaBFID will also work towards developing a deep and liquid market for bonds, loans, and derivatives for infrastructure financing. It will specifically facilitate the development of relevant electronic and negotiated markets, enabling fair and accessible trade and exchange.

NaBFID is expected to provide a supporting, technology-enabled ecosystem across the life-cycle of infrastructure projects as a provider, enabler, and catalyst for infrastructure financing. NaBFID will work towards directly or indirectly lending, investing, and attracting investments from private sector investors and institutional investors for infrastructure projects located entirely or partly in India. The harmonized list of sectors prescribed by the Central Government includes Transport and Logistics (Roads, Ports, Airports, Railways, Inland Waterways), Energy, Water and Sanitation, Communication, and Social and Commercial Infrastructure.

The instruments and services extended to fund such project financing requirements will be subject to the NaBFID Lending Rate (NLR) as applicable, and will range across the following types, expanding with time and market demand:

- Term Loans (Greenfield, brownfield, etc.)
- Bonds or Debentures
- Guarantees (Bid bonds, mobilization/advance payment guarantees, performance guarantees)
- Letter of Comfort (Capex LC)

Additionally, NaBFID will provide equity investment opportunities through:

- Investment Trusts,
- Bond subscription services,
- Specific structured products for project development, and
- ESG-focused lending.

NaBFID is also committed to the development of various bonds and derivative markets, including domestic capital bonds, foreign currency bonds, and green bonds - while ensuring investor protection and the implementation of robust adjudication systems.

17.8 INDIA INFRASTRUCTURE FINANCE COMPANY LTD. (IIFCL)

IIFCL is a wholly-owned Government of India company set up in 2006 to provide long-term finance to viable infrastructure projects through the *Scheme for Financing Viable Infrastructure Projects through a Special Purpose Vehicle* broadly referred to as SIFTI.

The sectors eligible for financial assistance from IIFCL broadly include transportation, energy, water, sanitation, communication, and social and commercial infrastructure. IIFCL has been registered as a NBFC-ND-IFC with RBI since September 2013.

Financing activities: IIFCL offers its financial support to the infrastructure sector through the following products/services:

- i) As part of a consortium, IIFCL provides long-term funds to commercially viable infrastructure projects, taking an exposure of up to 20% of Total Project Cost (including Subordinate Debt, if any). In the case of PPP projects that have the provision of compulsory buyback by the authority on termination, IIFCL may offer a loan with a tenor longer than other lenders and remain the sole lender, if necessary, after other lenders are paid out.
- ii) IIFCL provides subordinate debt up to 10% of the project cost (as part of its exposure of up to 20% of Total Project Cost). This type of debt is typically treated as Quasi-Equity by lenders.
- iv) *The Takeout Finance Scheme* is aimed at addressing the Asset Liability Mismatch and exposure constraints faced by banks by taking out loans from the books of the commercial banks. This helps banks to free up their funds for investing in newer infrastructure projects. IIFCL can lend up to 30% of the Total Project Cost (including Direct Lending).
- v) Under the *Credit Enhancement Scheme* partial credit, IIFCL provides a guarantee to enhance the credit rating of bonds issued by infrastructure companies to AA or higher for refinancing of existing loans. IIFCL can undertake credit enhancement to the extent of 20% of the Total Project Cost (40% of the Total Project Cost with backstop guarantor) subject to a maximum of 50% of the total amount of Project Bonds. Credit enhancement enables channelization of long-term funds from investors like insurance and pension funds in such bonds. Asian Development Bank (ADB) is providing a backstop guarantee facility to IIFCL for up to 50% of IIFCL's underlying risk.

- vi) IIFCL provides refinance to commercial banks and other eligible financial institutions (FI's) for their loans to infrastructure projects.

Sources of Funding: IIFCL raises funds through long-term resources from both domestic as well as global markets. IIFCL has also established strong relationships with multilateral institutions like the Asian Development Bank, World Bank, KfW (a German government-owned development bank) and European Investment Bank (EIB) and has committed lines of credit. These relationships with multilateral institutions have helped IIFCL in raising long-term resources. The relationships with multilateral institutions have helped IIFCL in raising long-term resources.

17.9 INFRASTRUCTURE LEASING & FINANCIAL SERVICES LIMITED (IL&FS)

IL&FS is one of India's leading infrastructure development and finance companies. Its central mandate is catalysing the development of innovative world-class infrastructure in the country. From concept to execution, IL&FS houses the expertise to provide the complete array of services necessary for successful project completion: visioning, documentation, development, finance, management, technology and execution. For over three decades, it has focused on commercializing infrastructure projects and creating value-added financial services to become a proactive partner in India's growth story. It develops high-quality infrastructure and financial solutions to catalyze India's growth. Widely acknowledged as the pioneer of Public Private Partnership (PPP) in India, the IL&FS Group has, through a variety of projects, benchmarked the private sector's role in and commitment towards infrastructure development in India. With strong core skills across its distinct businesses, the IL&FS group has spread its expertise nationwide in widely varied sectors including roads, water, power, ports, area development and social and environmental infrastructure. Through its financial services verticals, it is continuously engaged in developing innovative, layered and competitive financial solutions for infrastructure development. With benchmark projects in each sector, it has established specific, replicable, stand-alone, scalable prototypes for developing self-sustaining infrastructure projects.

Sources of funding: IL&FS was formed in 1987 as an 'RBI-registered Core Investment Company' by three financial institutions, namely the Central Bank of India, Housing Development Finance Corporation (HDFC) and Unit Trust of India (UTI), to provide finance and loans for major infrastructure projects. Gradually, as the organization needed better financing, it additionally opened itself to two large international players, namely Mitsubishi (through Orix Corporation Japan) and the Abu Dhabi Investment Authority. Subsequently, Life Insurance Corporation India, Orix and ADIA became its largest shareholders, a pattern that continues to this day. Currently, its institutional shareholders include the Life Insurance Corporation of India (LIC), ORIX and Abu Dhabi Investment Authority, with small shareholdings by a few Indian banks State Bank of India (SBI) was a

shareholder till 2017, after which it sold its stake in the company. A few foreign investors including Green-spring associates remain investors in its subsidiary companies, especially IL&FS transportation and IL&FS infrastructure services.

Role and importance of IL&FS: IL&FS infrastructure development initiatives have been sectorally and geographically diverse. It has strategic relations with governments in almost all the states and various departments of the Central Government and Union Territories have helped widen the IL&FS Group's national footprint. Its international presence includes offices in Singapore, Spain, London and Dubai, as well as strong network partners in the USA, Tokyo, Philippines and Abu Dhabi.

17.10 POWER FINANCE CORPORATION LTD (PFC)

PFC, established in July 1986, is under the administrative control of the Ministry of Power. PFC was conferred the title of a 'Maharatna CPSE' in Oct., 2021, and was classified as an Infrastructure Finance Company by the RBI on 28th July, 2010. It is a Government of India undertaking Financial Institution dedicated to power sector financing and committed to the integrated development of the power and associated sectors by channeling the resources and providing financial, technological, and managerial services for ensuring the development of economic, reliable and efficient systems and institutions for sustainable development of the Indian Power Sector. Its clientele consists of State Electricity Boards, State Power Utilities, State Electricity/Power Departments, and Other State Departments engaged in the development of power projects, Central Power Utilities, Joint Sector Power Utilities, Equipment Manufacturers; and Private Sector Power Utilities. As the fund requirements for the power sector are enormous and many funding agencies insist on a guarantee by an Indian Financial Institution, PFC has started providing guarantee services subject to its satisfaction with the borrowers' credibility.

17.11 RURAL ELECTRIFICATION CORPORATION LTD (REC)

Rural Electrification Corporation Ltd. was incorporated on July 25 1969 in New Delhi. In the year 1970, the company commenced lending operations to SEBs. REC was accorded Miniratna Grade-I Status in 2002 and thereafter conferred with Navratna status in May 2008. REC was categorised as an Infrastructure Finance Company (IFC) by Reserve Bank of India (RBI) in September 2010. *REC has been accorded with the status of a 'Maharatna' Central Public Sector Enterprise on September 21, 2022.* As on March 31, 2024 REC has a net worth of over Rs 78,783 crore. It is engaged in the financing and promotion of transmission distribution and generation projects throughout India. Their main objective of REC is to finance and promote rural

electrification projects all over the country. REC provides financial assistance to State Electricity Boards, State Government Departments, and Rural Electric Cooperatives for rural electrification projects sponsored by them through its extensive network of 23 offices across the country. It primarily offers long-term loans, medium-term loans, short-term loans, debt refinance, and equity and equipment finance, as well as coal mine finance. The Project Offices in the States coordinate the programmes of REC's financing with the concerned SEBs/State Power Utilities and facilitate in formulation of schemes for loan sanction and disbursement and implementation of schemes by the concerned SEBs/ State Power Utilities.

17.12 NATIONAL HOUSING BANK (NHB)

The National Housing Bank was established under section 6 of the National Housing Bank Act (1987). The bank started its operations in July 1988. Its headquarters is in New Delhi. It is the apex institution of housing finance in India and was set up as a wholly-owned subsidiary of the RBI. The primary function of NHB is to register, and supervise HFCs. It also provides refinance to HFCs, SCBs, RRBs and cooperative sector institutions for housing loans and directly lends (project finance) to borrowers in the public and private sectors to extend financial support to the housing programmes for the unserved and under-served segments of the population.

17.13 TOURISM FINANCE CORPORATION OF INDIA (TFCI)

TFCI has been formed as an All India Financial Institution, under the recommendations of the “*National Committee on Tourism*” constituted by the Planning Commission. The main objective of TFCI is to expedite the growth of tourism infrastructure in the country by providing a dedicated line of credit on a long-term basis to tourism-related projects in the country. Accordingly, TFCI was set up in 1989. The responsibility for setting up TFCI was initially entrusted to IFCI Ltd. in partnership with other All India Financial Institutions and Banks. TFCI raises long-term resources from the market by way of the Issue of Bonds besides utilising internal accruals.

TFCI has successfully been playing the role of investment catalyst for viable projects in tourism sector and other related sectors and plays a dominant role in creating tourism infrastructure in the country. It, as a specialised financing institution, has contributed significantly in terms of the creation of tourism infrastructure throughout the country thereby generating direct employment opportunities. It provides financial assistance by way of rupee loans, subscriptions to equity/debentures and corporate loans mainly to hotel projects, amusement parks, ropeways, multiplexes, restaurants etc. To diversify in other related areas, TFCI has expanded the scope of its activities by including financing of infrastructure projects, real estate projects and manufacturing projects to a limited extent, within the scope of its activities.